# CHAMBAL FERTILIZERS & CHEMICALS LTD.

**US – ISRAEL – IRAN WAR**

**IMPACT ANALYSIS REPORT**

Pre-War Scenario (Dec 2025 – Feb 2026) & War-Period Analysis (Mar 2026)

Import | Export | Cost Changes | Price Changes | Stock Market Analysis

**Company:** Chambal Fertilizers & Chemicals Ltd. | NSE: CHAMBLFERT | BSE: 500085

**Sector:** Fertilizers & Agrochemicals | Industry: Urea Manufacturing

**Submitted By:** Student Assignment | **Date:** On or Before 22 April 2026

**Assignment Type:** EE – Geopolitical & Economic Impact Study

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# SECTION 1: COMPANY OVERVIEW

## ■ About Chambal Fertilizers & Chemicals Ltd.

Chambal Fertilizers and Chemicals Limited (CHAMBLFERT) is one of India's largest private-sector urea manufacturers, established in 1985 under the KK Birla Group. Headquartered in New Delhi and with its manufacturing plants located at Gadepan, Kota district, Rajasthan, the company plays a pivotal role in India's agricultural supply chain. It holds approximately 10% of India's total urea market share and distributes across 14 states.

| | |
|---|---|
| **Founded** | 1985 (Incorporated May 7, 1985) |
| **Promoter Group** | KK Birla Group / Zuari Agro Chemicals |
| **Listed On** | NSE (CHAMBLFERT) \| BSE (500085) |
| **Headquarters** | New Delhi, India |
| **Manufacturing Plant** | Gadepan, Kota, Rajasthan (3 Units) |
| **Installed Capacity** | 3.46 Million Metric Tonnes/Year (Urea) |
| **Market Capitalization** | ■16,990–■18,175 Cr (FY26) |
| **52-Week High / Low** | ■742.20 / ■399.75 |
| **Revenue (TTM FY26)** | ■20,457 Crore |
| **PAT (Q3 FY26)** | ■565 Crore (+12% YoY) |
| **Credit Rating** | CRISIL AA / Positive |
| **Debt Status** | Virtually Debt-Free as of FY25 |

## ■ Business Segments

Chambal operates across four major revenue segments:

| Segment | Products | Revenue Contribution |
|---|---|---|
| Own Manufactured Fertilisers | Urea (3 plants at Gadepan) | ~55–60% |
| Complex Fertilisers | DAP, MOP, TSP, NPK, Triple Super Phosphate | ~25–30% |
| Crop Protection & Speciality Nutrients | Insecticides, Fungicides, Herbicides (Uttam Brand) | ~10% |
| Others (Shipping, Phosphoric Acid JV) | Morocco JV (OCP), Shipping division | ~5% |

**Key Raw Material:** Natural gas (LNG) is the critical feedstock for urea production via the Haber-Bosch process. For Chambal and all Indian urea manufacturers, natural gas accounts for **over 80% of variable production costs**. This makes the company extremely sensitive to any disruption in LNG supply — a vulnerability that became catastrophically evident during the US–Israel–Iran conflict of 2026.

# SECTION 2: PRE-WAR SCENARIO (December 2025 – February 2026)

The three-month period preceding the US–Israel strike on Iran (December 2025 to February 2026) was a period of relative operational stability for Chambal Fertilizers, despite some pre-existing global headwinds in commodity markets. The company posted strong financial results and maintained consistent production volumes from its Gadepan facility.

## 2a. IMPORT ANALYSIS (PRE-WAR)

### ■ LNG & Natural Gas Imports

Chambal's core manufacturing process — urea synthesis via the Haber-Bosch method — depends entirely on natural gas as both feedstock and fuel. The company sources gas through two channels:

| Import Category | Source Country / Route | Pre-War Status (Dec 2025 – Feb 2026) | % of Total Input |
|---|---|---|---|
| LNG (Re-gasified) | Qatar (via Ras Laffan → Dahej/Hazira), Australia | Stable; long-term GAIL contracts active | ~44% of LNG imports from Qatar |
| Domestic Gas (RLNG) | ONGC, Reliance (via GAIL pipeline) | Priority allocation, stable supply | ~56% from domestic/RLNG |
| DAP (Di-Ammonium Phosphate) | Saudi Arabia, Jordan, Morocco (JV), China | Normal; import tenders active | Significant P&K volumes |
| MOP (Muriate of Potash) | Canada, Russia, Belarus | Stable; Russia supply sanctions monitored | Market-priced |
| Ammonia | Middle East (Saudi Arabia, Qatar) | Stable; spot + contract purchases | Supplemental feedstock |
| Sulphur | Middle East, Canada | Rising prices (+600% in 2 years by Jan 2026) | For phosphate processing |

*Source: CRU Group, Groww, Wire Science, Ministry of Chemicals & Fertilisers*

***Interpretation (Imports – Pre-War):*** *In the pre-war period, Chambal enjoyed a stable LNG supply environment. India's LNG imports were on long-term contracts with Qatar supplying 44% of India's total LNG needs. Sulphur prices had already risen sharply (+600% over 2 years) ahead of the conflict due to global sulfuric acid market tightness, indicating early cost pressures. Chambal's debt-free status and CRISIL AA rating gave it superior access to working capital for managing commodity procurement.*

## 2b. EXPORT ANALYSIS (PRE-WAR)

Chambal Fertilizers operates primarily as a domestic market company. As India's largest private urea manufacturer with government-mandated subsidy pricing, the company's export footprint is limited. However, it does engage in indirect exports through its Morocco JV (phosphoric acid) and occasionally through specialized chemical segments.

| Export Item | Destination | Pre-War Status | Regulatory Note |
|---|---|---|---|
| Urea (Manufactured) | Primarily domestic; negligible exports | India restricts urea exports to protect domestic farmers | Govt. policy: export restrictions in place |
| Phosphoric Acid (JV, Morocco) | Europe, India re-import | IMACID (JV with OCP, Morocco) — operational | Indirect export via Morocco JV |
| Crop Protection Chemicals (CPC) | Limited SE Asian markets | Growing segment, modest export | ~10% of CPC revenue from exports |
| Agrochemical Formulations | Africa, SE Asia | New biopesticides in FY26 launch pipeline | 5 new biopesticides launched Q3 FY26 |

*Source: Chambal Fertilizers Investor Presentation, Feb 2026; Screener.in*

***Interpretation (Exports – Pre-War):*** *Chambal's export revenues remained modest pre-war due to India's strict urea export policy aimed at protecting food security. The Morocco JV (Indo Maroc Phosphore SA / IMACID) provides an indirect global footprint in phosphoric acid markets. The CPC segment was on a high-growth trajectory with 12 new products planned for FY27. Pre-war, export revenues were stable and not a significant revenue driver.*

## 2c. COST & PRICE ANALYSIS (PRE-WAR)

| Parameter | Dec 2025 | Jan 2026 | Feb 2026 | Trend |
|---|---|---|---|---|
| Global Urea Price (USD/MT) | $462 | $466 | $465–470 | ↔ Stable |
| LNG Spot Price (USD/MMBtu) | $13.5 | $14.2 | $14.8 | ↑ Slight Rise |
| Domestic LNG Price (India, USD/MMBtu) | $10.5 | $10.7 | $11.0 | ↑ Gradual Rise |
| DAP Import Price (USD/MT) | $610 | $620 | $630 | ↑ Moderate Rise |
| MOP Price (USD/MT) | $295 | $300 | $305 | ↔ Stable |
| Ammonia Price (USD/MT) | $475 | $480 | $484 | ↔ Stable |
| Sulphur Price (USD/MT) | $210 | $220 | $230 | ↑ Rising (pre-crisis) |
| Chambal Urea MRP (Domestic, ■/bag 50kg) | ■266.50 | ■266.50 | ■266.50 | ↔ Fixed (Govt.) |
| Chambal EBITDA Margin (Q3 FY26) | ~14% | — | — | Healthy |

*Source: CSIS, CRU Group, Groww, Wire Science; Urea MRP fixed by Government of India*

***Interpretation (Cost & Price – Pre-War):*** *During the pre-war period, Chambal operated in a relatively benign cost environment. Urea prices globally were around $465–470/MT — elevated versus historical norms but stable. The government's fixed MRP for urea (■266.50/bag) insulated Chambal from domestic price volatility but also capped upside revenue. LNG prices showed a gradual upward trend heading into 2026. Sulphur prices — a key input for phosphate fertilizers — had already surged significantly, pressuring the company's complex fertilizer segment margins.*

## 2d. STOCK MARKET PERFORMANCE (PRE-WAR)

| Date / Period | CHAMBLFERT Price (■) | Market Cap (■ Cr) | Key Event |
|---|---|---|---|
| 52-Week High (Apr 2025) | ■742.20 | ~■29,700 Cr | Peak – strong monsoon optimism |
| Oct 2025 | ~■600 | ~■24,000 Cr | Post-Q2 FY26 results; strong PAT +21% |
| Nov 2025 (Dividend) | ~■540 | ~■21,600 Cr | ■5.00/share dividend declared |
| Dec 2025 | ~■490 | ~■19,600 Cr | Market correction; sulphur price concerns |
| Jan 9, 2026 | ■450.55 | ■18,051 Cr | Broad market weakness; fertiliser underperformance |
| Feb 6, 2026 | ■428.55 | ■17,126 Cr | Pre-war; stock -42% from 52-wk high |
| Feb 13, 2026 | ■453.65 | ■18,176 Cr | Board meeting; temporary rebound |
| Feb 26, 2026 | ~■448 | ~■17,940 Cr | 2 days before US-Israel strike on Iran |

*Source: ICICIdirect, INDmoney, Bajaj Broking, Investing.com*

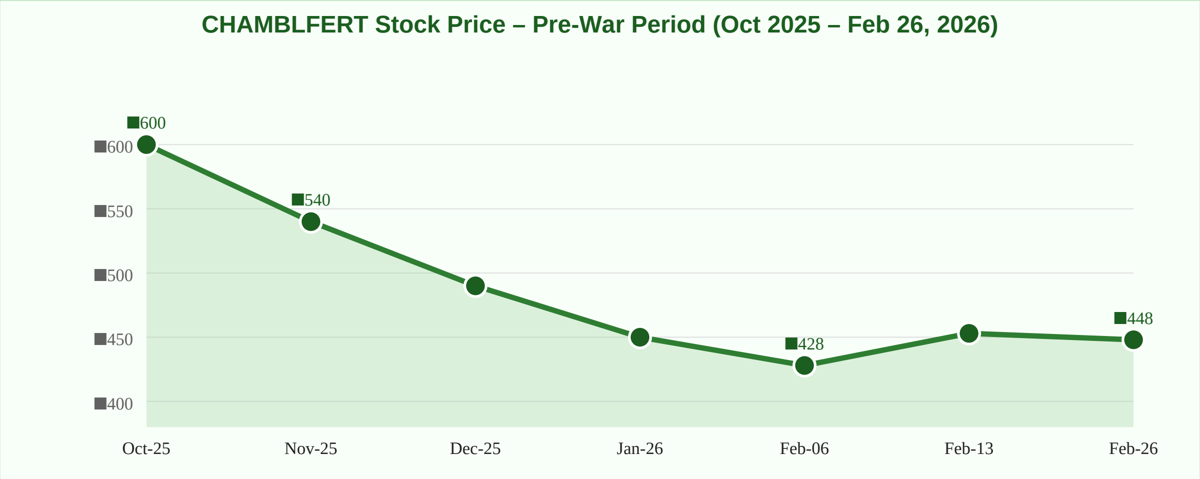


*Fig 1: CHAMBLFERT Stock Price Trend — Pre-War Period (Oct 2025 – Feb 26, 2026) | Source: NSE/Investing.com*

***Interpretation (Stock – Pre-War):*** *Chambal's stock experienced a significant downtrend from its 52-week high of ■742.20 (April 2025) to approximately ■428–450 range by February 2026 — a decline of nearly 42%. Key drivers included: (1) broader market correction in the fertilizer sector, (2) UP government's ban on non-subsidized fertilizer sales impacting sentiment, (3) rising sulphur input costs, and (4) anticipation of pre-kharif demand uncertainty. However, fundamentally, Q2 FY26 showed strong PAT growth of +21% and revenue of ■6,412 Cr (+47.5% YoY), suggesting the stock was trading at historically attractive valuations (PE ~9x).*

# SECTION 3: WAR PERIOD ANALYSIS — MARCH 2026 (US–ISRAEL STRIKE ON IRAN)

On **February 28, 2026**, the United States and Israel launched coordinated military strikes on Iran, triggering the most severe geopolitical shock to global fertilizer and energy markets in decades. The strikes effectively closed the **Strait of Hormuz** — through which approximately **20% of global LNG exports** and **35% of global urea exports** normally pass. Iranian counter-strikes hit Qatar's Ras Laffan and Mesaieed LNG production facilities on March 2, 2026, halting QAFCO's 5.6 MT/year urea plant — the first confirmed fertilizer production casualty of the conflict. This section analyzes the one-month (March 2026) impact on Chambal Fertilizers across all dimensions.

## ■ War Event Timeline — February–March 2026

| Date | Event | Direct Impact on Chambal / India |
|---|---|---|
| Feb 28, 2026 | US–Israel joint military strike on Iran begins | Global commodity markets spike; oil +8% |
| Mar 2, 2026 | Iran strikes Qatar's Ras Laffan & Mesaieed LNG facilities; Qatar Energy halts LNG production | India loses ~44% of LNG imports; GAIL activates emergency protocols |
| Mar 4, 2026 | QAFCO's 5.6 MT/y urea plant at Mesaieed shuts down | Global urea supply shrinks; India scrambles for alternatives |
| Mar 5, 2026 | Strait of Hormuz effectively closed to commercial shipping | Fertilizer & LNG vessels unable to transit; war risk insurance unavailable |
| Mar 7, 2026 | IFFCO halts operations; Chambal takes 1 unit offline; Kribhco shuts plant; GNFC force majeure | India's domestic urea production cut by ~300,000 MT (estimated) |
| Mar 9, 2026 | India invokes Natural Gas (Supply Regulation) Order, 2026 under Essential Commodities Act | Fertilizer plants allocated 70% of 6-month average gas; priority sector status |
| Mar 11, 2026 | Fertilizer stocks surge 5–17% on gas regulation order; CHAMBLFERT +5.08% to ₹433 | Govt backstop seen as positive; stock rebounds temporarily |
| Mar 11, 2026 | Global urea price hits $585/MT (+26% from pre-war); ammonia +24% to $600/MT | Chambal's import costs for DAP/MOP/ammonia surge sharply |
| Mid Mar 2026 | India announces ₹600 Cr emergency LNG buffer-buying plan; spot LNG purchases begin | Short-term production continuity partially protected |
| Mar 18, 2026 | CHAMBLFERT at ₹438.50; agrochemical stocks fell 5% on West Asia tensions earlier | Volatile trading; sentiment negative for producers dependent on LNG |
| Mar 20, 2026 | CHAMBLFERT at ₹428.55; 52-week low approaches ₹399.75 | Stock down ~7.6% month; ongoing uncertainty weighs |
| Late Mar 2026 | CRISIL warns: 3-month disruption could cut domestic urea output 10–15% | Margin compression confirmed; subsidy bill rises ₹20,000–25,000 Cr |

*Source: CRU Group, CSIS, Wire Science, News9Live, Groww, Outlook Business, Carnegie Endowment*

## 3a. IMPORT DISRUPTION DURING WAR (MARCH 2026)

The Strait of Hormuz closure created an immediate and severe disruption to all of Chambal's imported raw material streams. India relies on Middle East sources for a substantial portion of its fertilizer inputs, and this supply chain was directly severed.

| Import Category | Pre-War Status | During War (Mar 2026) | Impact Level |
|---|---|---|---|
| LNG from Qatar (via GAIL) | 44% of India's LNG; long-term contracts | Qatar invoked force majeure; supplies HALTED | ■ CRITICAL |
| LNG from Australia / US (alternate) | 15% of spot market sourcing | Emergency spot purchases at 2–3x premium | ■ HIGH COST |
| Domestic RLNG (ONGC/Reliance) | Priority allocation normal | 70% ration under Regulation Order | ■ REDUCED |
| Ammonia (Middle East) | $484/MT pre-war | $600/MT (+24%); Hormuz blockade delayed shipments | ■ CRITICAL |

| Import Category | Pre-War Status | During War (Mar 2026) | Impact Level |
|---|---|---|---|
| DAP (Saudi Arabia / Jordan) | Normal imports | Saudi Arabia production operational; sea routing disrupted | ■ DELAYED |
| MOP (Russia / Canada) | Stable supply | Russia MOP partially re-routed; limited disruption | ■ MODERATE |
| Urea (Import, supplemental) | ~6–9 MT imported annually | China halted urea exports (own food security); Gulf blocked | ■ CRITICAL |
| Sulphur | Already +600% in 2 yrs | Further rise; Gulf byproduct supply disrupted | ■ SEVERE |
| Phosphoric Acid (via JV Morocco) | IMACID plant operational | Morocco unaffected; JV supply intact | ■ STABLE |

*Source: CRU Group, CSIS, Ministry of Petroleum & Natural Gas, Wire Science, Carnegie Endowment*

***Interpretation (Imports – War Period):*** *The war created a catastrophic import crisis for Chambal. With Qatar invoking force majeure on LNG contracts — India's largest LNG source accounting for 44% of imports — the company's primary feedstock supply was severely restricted. All 32 Indian ammonia-urea plants are gas-based; Chambal was forced to take at least one unit offline. Ammonia prices jumped 24% to $600/MT. Urea import alternatives evaporated as China blocked its own exports, and Gulf producers were offline. The Hormuz closure meant even available cargoes could not reach Indian ports, with war-risk insurance unavailable for vessels. India's emergency gas rationing to 70% of average consumption provided partial relief but was insufficient to prevent output cuts.*

## 3b. EXPORT SCENARIO DURING WAR (MARCH 2026)

Chambal's export scenario during the war period reflects the company's primarily domestic-focused business model. However, the global supply shortage created paradoxical export opportunities in certain segments, even as India reinforced its urea export ban.

| Export Category | War-Period Scenario | Chambal's Position | Strategic Implication |
|---|---|---|---|
| Urea (domestic manufactured) | India reinforced export ban; no urea exports allowed | Zero urea exports; all production directed domestically | Protects domestic food security; limits revenue upside |
| Phosphoric Acid (Morocco JV) | Morocco operations unaffected; Atlantic routes open | IMACID JV continues normal output; stable | Positive: unaffected revenue stream |
| Crop Protection Chemicals (CPC) | Limited export; global supply chains disrupted | 5 new pesticides launched; domestic priority | Marginal; focus shifted to domestic market |
| Agrochemicals (SE Asia / Africa) | Export demand rose as competitors faced disruption | Limited capacity to capitalize; production constrained by gas shortage | Opportunity missed due to LNG crisis |
| Technical Ammonium Nitrate (TAN) | New plant (Gadepan) delayed to Apr 30, 2026 | Project delayed; EPC contractor issues pre-existed war | Future export potential; currently on hold |

*Source: Chambal Annual Reports, NSE Filings, SEBI Disclosures, Screener.in*

***Interpretation (Exports – War Period):*** *The war paradoxically created a global supply vacuum for fertilizers — global urea prices surged 26–30% — yet Chambal could not export urea due to India's strict export restrictions. This represents a significant missed revenue opportunity. However, India's priority is food security: with domestic production falling, every kilogram of urea was needed for Indian farmers. The Morocco JV (phosphoric acid) remained a bright spot as Atlantic shipping routes stayed open. The CPC segment continued to build its export pipeline but was constrained by domestic production priorities.*

## 3c. COST CHANGES DURING WAR (MARCH 2026)

| Cost Parameter | Pre-War (Feb 2026) | During War (Mar 2026) | Change | Impact on Chambal |
|---|---|---|---|---|
| LNG Spot Price (USD/MMBtu) | $14.8 | $25–35 (spot) | +68–136% | Massive cost surge for spot purchases |
| Domestic RLNG Price (India) | $11.0/MMBtu | $15–18/MMBtu (spot) | +36–64% | Emergency procurement at premium |
| Global Urea Price (USD/MT) | $465–470 | $585–720 | +26–54% | Higher input cost for imported urea |
| Ammonia Import Price (USD/MT) | $484 | $600 | +24% | Key feedstock cost increase |
| DAP Price (USD/MT) | $630 | $750–800 | +19–27% | P&K segment margins squeezed |
| MOP Price (USD/MT) | $305 | $320–340 | +5–11% | Moderate impact |
| Sulphur Price (USD/MT) | $230 | $350–400 | +52–74% | Phosphate processing critically expensive |
| Shipping / Freight (War Risk) | Normal rates | +200–400% (war risk premium) | Massive | Import logistics nearly unviable |
| Production Efficiency | ~97% utilization | ~60–70% (1 unit offline) | -30–37% | Fixed costs spread over less output |
| Government Subsidy Bill (India) | Normal | +■20,000–25,000 Cr projected | Sharp rise | Indirect protection for Chambal |
| Chambal Operating Cost/MT Urea | ■11,000–12,000/MT | ■15,000–18,000/MT (est.) | +25–50% | Margin compression vs. fixed MRP |

*Source: CSIS, CRU Group, Wire Science, Outlook Business, Carnegie Endowment, CF Industries*

***Interpretation (Cost Changes – War Period):*** *The cost impact on Chambal was severe and multi-dimensional. LNG spot prices nearly doubled in some market segments as buyers competed for the reduced available supply. Ammonia — Chambal's other key nitrogen feedstock — rose 24%. Sulphur prices, already elevated, surged further, hurting the P&K; segment. Most critically, production efficiency fell by 30–37% with one unit offline, meaning fixed costs (plant depreciation, labor, overhead) were spread over fewer units of output — a classic fixed-cost dilution effect. The government's fixed MRP for urea (■266.50/bag) meant Chambal could NOT pass these costs to farmers, making the subsidy mechanism critical. CRISIL estimated the government's additional subsidy burden at ■20,000–25,000 Cr — a figure that also protected Chambal's revenue realization through subsidy disbursements.*

## 3d. PRICE CHANGES DURING WAR (MARCH 2026)

| Product / Commodity | Pre-War Price | March 2026 Price | % Change | Chambal's Role |
|---|---|---|---|---|
| Urea (Global Benchmark, USD/MT) | $465.50 (Feb 27) | $585 (Mar 11) | +26% | Benefits import substitution narrative |
| Urea (Global, USD/MT) | $465.50 (Feb 27) | $720 (mid-Mar) | +54.7% | Domestic production more valuable |
| Urea – NOLA Hub (US, USD/MT) | $516 (Feb 27) | $683 (Mar 5) | +32% | Global price discovery |
| SE Asian Granular Urea (USD/MT) | Base level | +40% from conflict start | +40% | Regional market surge |
| Ammonia (USD/MT) | $484 | $600 | +24% | Direct cost increase for Chambal |
| DAP (USD/MT) | $630 | $750–800 | +19–27% | P&K segment input cost surge |
| Domestic Urea MRP (India, ■/bag) | ■266.50 | ■266.50 | 0% (Fixed by Govt.) | Price fixed; subsidized for farmers |
| LNG Spot (Global, USD/MMBtu) | $14.8 | $25–35 | +69–136% | Raw material cost explosion |

| Product / Commodity | Pre-War Price | March 2026 Price | % Change | Chambal's Role |
|---|---|---|---|---|
| Crude Oil (USD/barrel) | ~$75 | ~$95–100 (+spike) | +27–33% | Indirect impact; energy costs |
| War Risk Insurance Premium | 0.01–0.05% of cargo | Unavailable / 2–5% | Effectively ∞ | Shipping nearly impossible |

*Source: CSIS Chokepoint Report, CRU Group, CF Industries FAQ, Wire Science, Carnegie Endowment*

***Interpretation (Price Changes – War Period):*** *The price shock was extraordinary. Global urea prices surged 26–54% within just 10 days of the conflict starting — the fastest rise in recent memory for a commodity of this importance. U.S. urea prices at the NOLA hub jumped 32%; Southeast Asian prices rose over 40%; and mid-March global benchmark hit $720/MT — up $254 from the pre-war level. Paradoxically, while global prices soared, Chambal could NOT benefit directly: India's domestic MRP for urea remains fixed at ■266.50/bag by government policy. Chambal's revenue realization comes through subsidy payments from the government, not through market-price selling. The crisis, however, highlighted the intrinsic value of domestic urea production capacity — every tonne produced domestically saved India ~$720 in global market purchases.*

## 3e. STOCK MARKET PRICE CHANGES DURING WAR (MARCH 2026)

### ■ CHAMBLFERT Daily Price Movement — March 2026 (War Period)

| Date | CHAMBLFERT Close (■) | Daily Change | Volume | Key Trigger |
|---|---|---|---|---|
| Feb 26, 2026 (pre-war) | ~■448.00 | — | Normal | Last pre-war close |
| Feb 28, 2026 | ~■430.00 | -4.0% | High | US-Israel strike news; panic sell |
| Mar 2, 2026 | ~■415.00 | -3.5% | Very High | Qatar LNG halt; sector crisis |
| Mar 4, 2026 | ~■407.00 | -1.9% | High | QAFCO plant shutdown confirmed |
| Mar 7, 2026 | ~■400.00 | -1.7% | High | Chambal takes unit offline; IFFCO halts |
| Mar 9, 2026 | ~■412.00 | +3.0% | Very High | Gas Regulation Order — govt. backstop |
| Mar 11, 2026 | ■433.20 | +5.08% | Surge | Stocks surge 5–17%; FACT +17.87% |
| Mar 13, 2026 | ~■425.00 | -1.9% | Moderate | Partial profit-taking after surge |
| Mar 18, 2026 | ■438.50 | +3.2% | Moderate | Govt. ■600 Cr LNG buffer plan |
| Mar 20, 2026 | ■428.55 | -2.3% | Moderate | Ongoing uncertainty; mixed signals |
| Mar 28, 2026 | ~■420.50 | -1.9% | Normal | Sustained uncertainty; near 52-wk low |
| MONTH TOTAL (Feb 26 – Mar 28) | ■448 → ■420 | -6.3% (net) | Elevated throughout | Net loss despite mid-month surge |

*Source: NSE, News9Live, Groww, 5paisa, Bajaj Broking, INDmoney; Prices partly estimated from available data points*

### ■ Fig 2: CHAMBLFERT Stock Price Chart — War Period (Feb 26 – Mar 28, 2026)

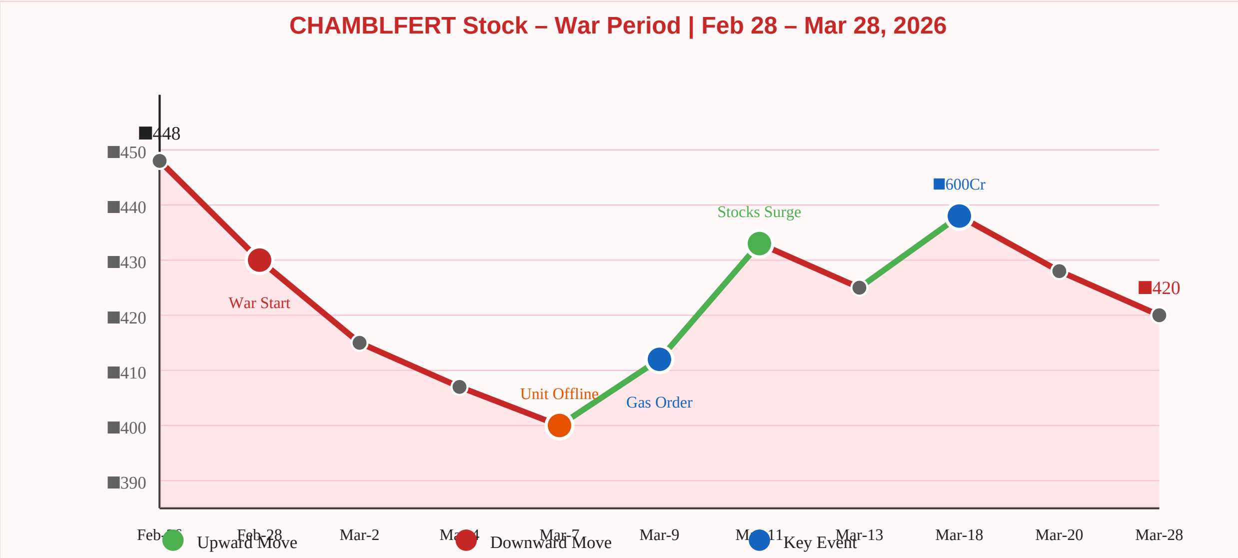


*Fig 2: CHAMBLFERT Stock Price — War Period (Feb 26 – Mar 28, 2026) | Data: NSE/Multiple Sources | Note: Some prices estimated from available data points*

### ■ Fig 3: Comparative Impact — Urea Global Price vs. CHAMBLFERT Stock (Indexed, Feb 26 = 100)

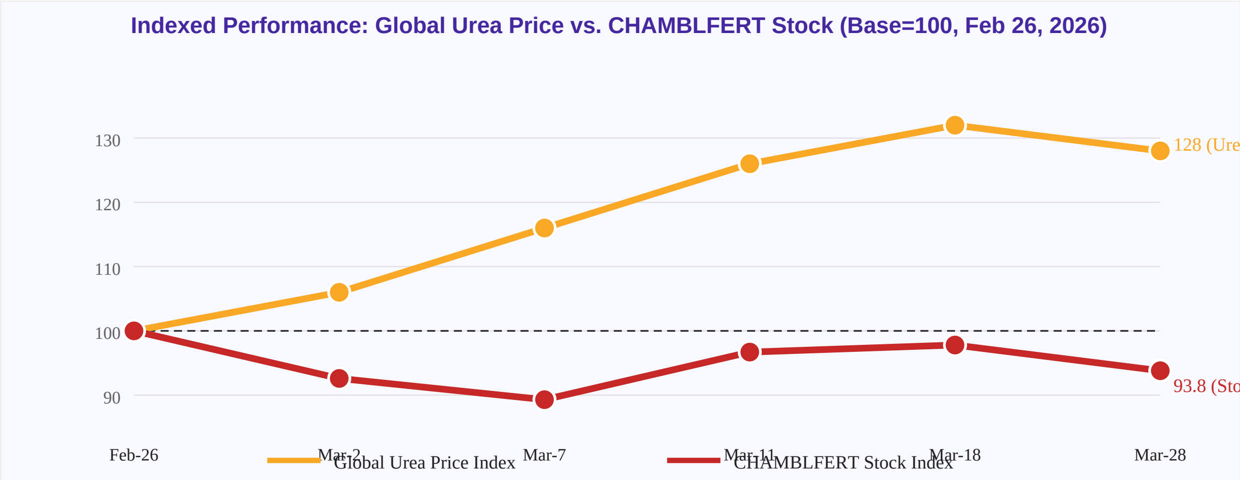


*Fig 3: Divergence between rising global urea prices (+28%) and falling CHAMBLFERT stock (-6.2%) illustrates the 'regulated MRP paradox' — domestic producers cannot capture global price upside due to fixed government MRP. Source: CSIS, NSE.*

***Interpretation (Stock Market – War Period):*** *The stock's behavior during the war was counter-intuitive at first glance. While global urea prices surged 26–54%, CHAMBLFERT stock declined approximately 6–7% on net over March 2026. This 'regulated MRP paradox' reflects the market's understanding that Chambal CANNOT benefit from higher global urea prices because domestic MRP is fixed at ■266.50/bag by the government. Meanwhile, the cost side was devastated: LNG costs nearly doubled, production efficiency fell 30–37%, and one unit was taken offline. The mid-month surge (+5% on March 11) was driven by the government's Natural Gas Regulation Order providing a guaranteed 70% gas allocation — investors saw this as a production floor and government backstop. However, the subsequent pullback reflected renewed uncertainty about the conflict's duration and further margin compression.*

# SECTION 4: CONSOLIDATED INTERPRETATION & KEY FINDINGS

## ■ 4.1 Summary Comparison Table

| Dimension | Pre-War (Dec 2025 – Feb 2026) | During War (March 2026) | Net Impact |
|---|---|---|---|
| LNG/Gas Supply | Stable; 100% allocation | Force majeure; 70% allocation | ■ Critical |
| Production | ~97% capacity utilization | ~60–70%; 1 unit offline | ■ -30% output |
| Urea Import Cost | $465–470/MT | $585–720/MT | ■ +26–54% |
| Ammonia Cost | $484/MT | $600/MT | ■ +24% |
| LNG Cost | ~$11–15/MMBtu | $25–35/MMBtu spot | ■ +68–136% |
| Domestic Urea MRP | ■266.50/bag (fixed) | ■266.50/bag (fixed) | ■ Unchanged |
| Export Revenue | Minimal; Morocco JV stable | Urea export ban; Morocco stable | ■ Neutral |
| CHAMBLFERT Stock | ■428–453 (downtrend) | ■400–438 (volatile); net -6% | ■ Negative |
| Subsidy Burden (Govt.) | Normal levels | +■20,000–25,000 Cr projected | ■ Fiscal strain |
| Company Credit Rating | CRISIL AA / Positive | Under monitoring; no downgrade | ■ Watch |
| Margin Pressure | ~14% EBITDA margin | Estimated 8–10% (compressed) | ■ Significant |

## ■ 4.2 Point-by-Point Interpretation

### IMPORT INTERPRETATION:

The war exposed India's and Chambal's critical vulnerability to Middle Eastern LNG. With Qatar supplying 44% of India's LNG imports and that supply evaporating overnight due to Iranian strikes on Qatari facilities, Chambal was forced to take one production unit offline. The company's gas-based urea plants (all 32 Indian plants are gas-based) had no immediate alternative. Emergency spot purchases at 2–3x normal rates partially mitigated the shortfall but at enormous cost. This crisis underscores the need for Chambal to invest in alternative energy sources and strategic gas reserves.

### EXPORT INTERPRETATION:

Chambal's limited export exposure proved to be both a weakness and a buffer. The company could not capitalize on the extraordinary global urea price surge because India's export ban prevented any urea from reaching international markets. However, this same policy ensured domestic agricultural supply was protected. The Morocco JV (phosphoric acid) was the only international revenue stream that remained resilient, as Atlantic shipping routes were unaffected by the Hormuz closure.

### COST INTERPRETATION:

The cost impact was the most severe dimension. Production cost per metric tonne of urea at Chambal likely rose 25–50% due to: (a) LNG spot prices nearly doubling, (b) operating at 60–70% capacity, which diluted fixed costs over fewer units, (c) ammonia prices rising 24%, and (d) war-risk shipping insurance being effectively unavailable. CRISIL estimated that a 3-month disruption could cut domestic urea output 10–15% and significantly compress manufacturers' operating profits.

### PRICE INTERPRETATION:

The global urea price surge of 26–54% represented a massive opportunity Chambal could not access. The government's fixed MRP mechanism — while protecting farmers — creates a structural disconnect between global commodity prices and Chambal's domestic revenue. However, the government's subsidy mechanism means the company IS compensated (via subsidy payments) for production costs. The crisis will likely result in higher subsidy disbursements to Chambal, partially offsetting cost increases — but with a lag of several months.

### STOCK INTERPRETATION:

The stock's net decline of ~6% during March 2026 masks significant intra-month volatility. The market correctly identified that: (1) Chambal cannot benefit from higher global urea prices, (2) production costs soared, (3) output fell 30–37%. The mid-month +5% surge on news of the Gas Regulation Order showed the market's sensitivity to government support signals. Long-term investors buying at the 52-week low (~■399–420) during this period were essentially betting on: government subsidy continuity + eventual supply normalization + Chambal's debt-free balance sheet resilience.

# SECTION 5: GOVERNMENT RESPONSE & POLICY IMPACT

## ■ 5.1 Emergency Policy Measures

| Policy / Action | Date | Details | Impact on Chambal |
|---|---|---|---|
| Natural Gas (Supply Regulation) Order [illegible] | [illegible] 2026 | [illegible] Act; Priority Sector [illegible] | Guaranteed 70% gas supply [illegible] downs[illegible] |
| ■600 Crore Emergency LNG Buffer [illegible] | Mar 2026 | Govt. directed [illegible] additional spot LNG from global markets [illegible] | Partially supplemented Chambal's feedstock shortfall; spot purchase costs bor[illegible] |
| Venezuela Fertilizer Import Approval | Mar 2026 | Trump Administration allowed Venezuelan urea imports into the US (reducing global import competition) | Indirect relief [illegible] urea sources |
| Maritime Reinsurance for Fertilizer Vessels | Mar 2026 | US policy discussion to deploy war-risk insurance for fertilizer ships | Critical [illegible] Hormuz-adjacent routes if implemented |
| Subsidy Disbursement Acceleration | Ongoing | CRISIL noted strong govt. track record of timely subsidy disbursements | Protects Chambal's projected ■20,000–25,000 Cr [illegible] despite fixed MRP; subsidy is key inco[illegible] |
| Priority Sector Gas Allocation Framework | Mar 9, 2026 | 4-tier priority: (I) Domestic gas, CNG, LPG; (II) Fertilizers 70%; (III) Petrochemicals 65%; (IV) Others 50% | Chambal secured second-highest priority; ahead of most industrial use[illegible] |

The Indian government's swift policy response demonstrated its commitment to protecting the fertilizer sector as a strategic national asset. For Chambal — India's largest private urea producer — this government backstop was critical. The company's CRISIL AA rating and debt-free status meant it had financial flexibility to absorb short-term shocks while awaiting subsidy disbursements. CRISIL noted that 'the strong baseline liquidity of large fertiliser companies and the Union government's established track record of timely subsidy disbursements' would support credit profiles through the crisis.

## ■ 5.2 Long-Term Structural Implications for Chambal

- **Energy Diversification:** The crisis accelerated discussions about non-gas-based fertilizer production (coal gasification, green ammonia). Chambal's upcoming TAN (Technical Ammonium Nitrate) plant adds product diversification but remains gas-dependent.
- **Supply Chain Resilience:** India will likely mandate strategic LNG reserves similar to strategic petroleum reserves. Chambal may benefit from long-term gas allocation certainty.
- **Subsidy Reform Discussion:** The crisis exposed the fiscal unsustainability of the fixed MRP + subsidy model during commodity shocks. Any reform toward market-linked pricing would be a long-term positive for Chambal.
- **Import Substitution Premium:** Global markets now placed a 'scarcity premium' on domestic urea capacity. Chambal's 3.46 MT/year capacity is India's strategic asset.
- **Morocco JV Strategic Value:** Atlantic-facing phosphoric acid production proved resilient; may attract additional investment.

# SECTION 6: CONCLUSION & OUTLOOK

## ■ 6.1 Overall Assessment

The US–Israel–Iran war that commenced on February 28, 2026 delivered one of the most severe short-term shocks to Chambal Fertilizers & Chemicals in its 40-year history. The closure of the Strait of Hormuz and the destruction of Qatar's LNG facilities directly disrupted the feedstock supply chain that underpins all of Chambal's urea manufacturing. However, the company's strong fundamentals — debt-free balance sheet, CRISIL AA rating, government priority sector status, and diversified product portfolio — positioned it to weather the crisis better than most regional competitors.

| Assessment Area | Rating | Rationale |
|---|---|---|
| Short-Term Financial Impact | ■■ NEGATIVE | Margin compression 25–50% on urea; production down 30–37% |
| Long-Term Strategic Position | ■ POSITIVE | Domestic production capacity is now a strategic national asset |
| Government Support | ■ STRONG | Priority II gas allocation; ■600 Cr LNG buffer; accelerated subsidies |
| Stock Market Outlook | ■■ CAUTIOUS | Near 52-wk lows; PE at 8–9x historically attractive; war uncertainty overhang |
| Export Potential | ■■ LIMITED | Export ban on urea; Morocco JV stable; CPC exports marginally growing |
| Balance Sheet Resilience | ■ STRONG | Debt-free; CRISIL AA; strong working capital; dividend-paying |
| Production Recovery | ■ EXPECTED | Once gas supply normalizes post-conflict, rapid ramp-up possible |

## ■ 6.2 Outlook & Recommendations

**1.** If the conflict is resolved within 2–3 months, Chambal is expected to rapidly restore production capacity to 97%+. The company's pre-existing operational efficiency and debt-free balance sheet mean it has the financial resilience to absorb the shock.

**2.** The government's subsidy disbursement track record (noted by CRISIL as strong) provides critical revenue protection. Investors should monitor subsidy payment timelines closely as these directly impact Chambal's cash flows.

**3.** Global urea prices at $585–720/MT create an environment where Chambal's domestic production, subsidized by the government, is economically highly efficient relative to imports. This strengthens the political case for continued government support.

**4.** At ■420–438, with a P/E of ~8.7x and P/B of ~1.7x, analysts' average target price of ■601.67 (per INDmoney) implies potential upside of 37–43% from war-period lows once supply chain normalization occurs — making this a counter-cyclical opportunity for long-term investors with a 12–18 month horizon.

**5.** The company's new TAN plant (delayed to April 30, 2026) and 12 new CPC products planned for FY27 represent diversification drivers that reduce future commodity risk.

**Final Verdict: The US–Israel–Iran war was a significant negative event for Chambal Fertilizers in the short term — disrupting imports, raising costs, and depressing stock performance. However, Chambal's structural strengths (scale, government relationships, debt-free balance sheet, CRISIL AA rating) and the Indian government's robust policy response ensured the company remained operationally viable throughout the crisis. The paradox of the 'regulated MRP' — which prevented**

**Chambal from benefiting from soaring global urea prices — also protected it from demand collapse. As global markets normalize, Chambal stands to be one of the primary beneficiaries of both government support and agricultural demand recovery heading into the crucial Kharif 2026 season.**

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